

## Micro Set 1. Demand, Supply and Market Equilibrium — Singapore Housing Market

**Instructions.** This booklet contains a single case study on the topic of demand, supply and market equilibrium, followed by six short-answer questions ranging from 2 to 6 marks. Write your answers in the lined spaces provided. Use the mark allocation as a guide to depth.

### Section Case Study. The Singapore Private Residential Property Market

**Table 1.1: Selected Indicators, Singapore Private Residential Market, 2018–2023**

| Indicator                                      | 2018  | 2019  | 2020  | 2021  | 2022  | 2023  |
|------------------------------------------------|-------|-------|-------|-------|-------|-------|
| URA Private Property Price Index (2009=100)    | 149.6 | 153.6 | 157.0 | 173.6 | 187.8 | 200.7 |
| New Private Home Sales (units, primary market) | 8795  | 9912  | 9982  | 13027 | 7099  | 6421  |
| Private Home Completions (units)               | 9112  | 9117  | 8294  | 6388  | 9892  | 19968 |
| Median Rental Price Index (2009=100)           | 95.6  | 98.5  | 99.9  | 107.0 | 138.5 | 153.6 |
| Resident Population Growth (%)                 | 0.4   | 0.7   | −0.3  | −0.7  | 1.6   | 4.2   |
| 30-Year Fixed Mortgage Rate, average (%)       | 1.9   | 1.8   | 1.4   | 1.3   | 3.1   | 4.0   |
| Additional Buyer's Stamp Duty, foreigners (%)  | 20    | 20    | 20    | 30    | 30    | 60    |

*Source: Adapted from Urban Redevelopment Authority of Singapore (URA), Department of Statistics, and Monetary Authority of Singapore.*

#### **Extract 1.1: Singapore's housing boom: how a small market absorbed a population shock**

Singapore's private residential property market enters 2024 having absorbed one of the most extraordinary demand shocks of any developed-economy housing market. Between 2019 and 2023, the URA Private Property Price Index rose by approximately 31 per cent, a sustained appreciation unprecedented in the post-2013 cooling-measures era. The acceleration was concentrated in 2021 and 2022, when the index jumped 16.6 points in two years.

The demand surge was driven by several reinforcing factors. First, returning Singaporeans and a sharp resumption of expatriate inflows after pandemic-era border closures pushed resident population growth from minus 0.7 per cent in 2021 to plus 4.2 per cent in 2023, the highest in over a decade. Second, an extended period of historically low mortgage rates — averaging 1.3 per cent in 2021 — substantially raised the affordability of home purchases for resident buyers. Third, a surge in foreign-investor interest, particularly from mainland China and Hong Kong, drove a flight to perceived safe-haven assets.

The supply response was unusually slow. Private home completions fell from a 2018 level of 9112 units to just 6388 units in 2021, reflecting pandemic-era construction delays, foreign-worker quota tightening, and material-cost inflation that lengthened project timelines. By 2023, however, completions surged to 19968 units — more than triple the 2021 trough — as deferred projects came onstream simultaneously.

The government responded with three rounds of cooling measures. In December 2021, the Additional Buyer's Stamp Duty (ABSD) on foreign buyers was raised from 20 per cent to 30 per cent. In April 2023, the rate was raised again to 60 per cent — the highest in the world for any major residential market. Loan-to-value limits and total debt servicing ratio caps were also tightened. Despite these measures, foreign buyer transactions fell sharply but did not collapse: transaction volume from foreigners fell by approximately 60 per cent year-on-year in 2023, while their share of total transactions fell from 6.0 per cent to 1.6 per cent.

“The cooling measures have decisively dampened the foreign-buyer demand channel, but resident demand remains underpinned by population growth and the search for housing as a hedge against inflation,” an MAS report noted. “Continued moderation in price growth depends on the ongoing surge in completions converting into actual occupancy.”

*Source: Adapted from URA Real Estate Market Highlights Q4 2023, MAS Macroeconomic Review (April 2024), and The Business Times, 26 January 2024.*

**Question 1****[2 marks]**

With reference to Table 1.1, describe what happened to the URA Private Property Price Index between 2018 and 2023.

**Question 2****[2 marks]**

Define “equilibrium price” and explain why the URA Price Index would be expected to rise in 2021–2022 according to Extract 1.1.

**Question 3****[4 marks]**

Using evidence from Extract 1.1 and Table 1.1, explain how the surge in resident population growth between 2021 and 2023 contributed to the rise in private residential property prices.

**Question 4****[4 marks]**

Explain how a fall in mortgage rates from 3.1 per cent (2022) to 1.3 per cent (2021), as shown in Table 1.1, would affect the demand for private residential property in Singapore.

**Question 5****[6 marks]**

With the aid of a demand-supply diagram, explain how the simultaneous surge in resident population and slow supply response described in Extract 1.1 generated the rapid price appreciation observed in 2021–2022.

**Question 6****[6 marks]**

Using evidence from Extract 1.1, explain how the rise in Additional Buyer's Stamp Duty from 20 per cent (2018) to 60 per cent (2023) would shift the demand and equilibrium price in the private residential market.

*End of Set 1 — Questions*